آغا خان یونیورسٹی ایگزامینیشن بورڈ

AGA KHAN UNIVERSITY EXAMINATION BOARD

Notes from E-Marking Centre on SSC-I Principles of Accounting Annual Examinations 2025

Introduction

This document has been produced for the teachers and candidates of Secondary School Certificate (SSC) Part I Principles of Accounting. It contains comments on candidates' responses to the 2025 SSC-I Examination indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses that support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Student Learning Outcomes (SLOs) in a manner that requires candidates to respond by integrating knowledge, understanding and application skills they have developed during the course of study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used. It is imperative to refer to the command word guide available on AKU-EB website for understanding the expectations of the command word.

General Observations

Overall, the performance of candidates across these questions showed a wide variation. In the conceptual questions, such as those related to the fundamental accounting concepts (assets, liabilities, and capital), most candidates performed well. These responses reflected a sound understanding of basic principles, and many were able to provide relevant everyday business examples to support their answers. However, a considerable portion of candidates left these questions incomplete or provided vague definitions without proper examples, which limited their marks.

On the other hand, the lowest performance was seen in application of accounting equation concept in which the candidates were not able to attempt it well. The computational and applied questions, such as depreciation methods and journal entries, proved to be more challenging. A significant number of candidates struggled with the correct application of formulas, proper working steps, and posting of journal entries, preparation of income statement. In several cases,

candidates could identify the method but failed to compute or record the transaction accurately. This indicates that while theoretical knowledge was fairly strong, the application of concepts in practical scenarios needs more consistent practice and reinforcement.

Note: Candidates' responses shown in this report have not been corrected for grammar, spelling, format, or information.

DETAILED COMMENTS

Constructed Response Questions (CRQs)

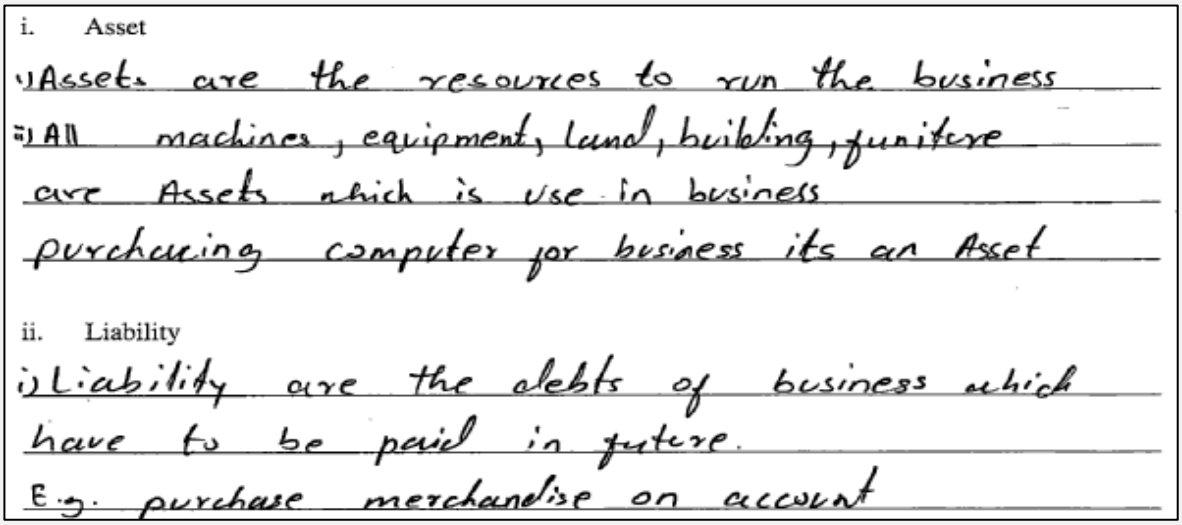
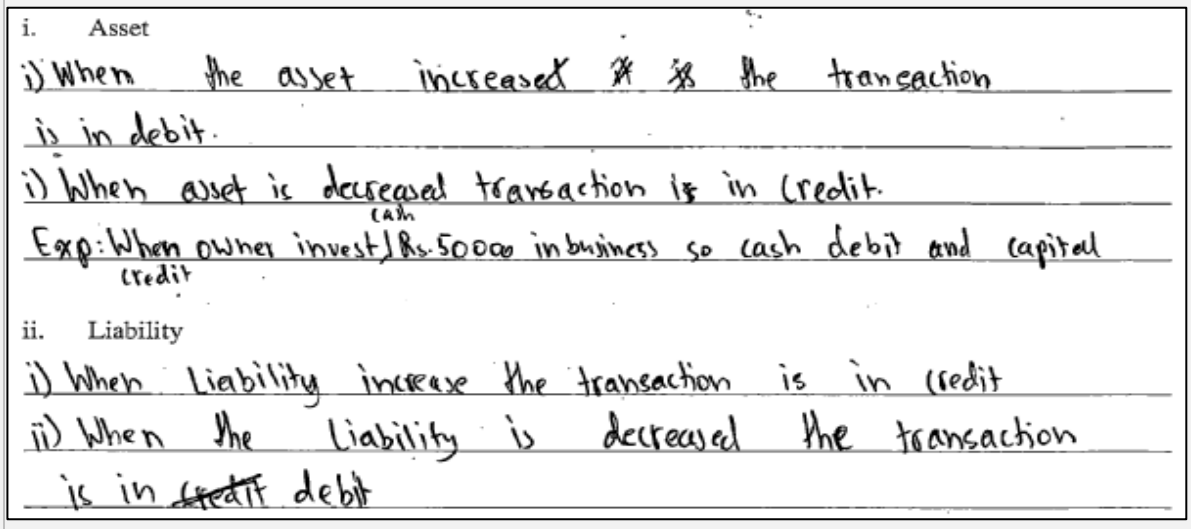
Question No. 1	
Question Text	Explain any TWO fundamental accounting concepts. Also provide any ONE example of each from everyday business. i. Asset ii. Liability iii. Capital
SLO No.	1.2.3
SLO Text	Explain the concepts of asset, liability, capital, expense, revenue (income).
Max Marks	04
Cognitive Level	U
Checking Hints	ONE mark for each correct description (TWO required). ONE mark for each example (TWO required).
Overall Performance	The overall performance in this question was good. Many candidates showed a good understanding of fundamental accounting concepts and were able to explain asset, liability, and capital with relevant examples. However, some struggled to distinguish between capital and liability, while a few provided descriptions without linking them to real-life business scenarios.
Description of Better Responses	The *better responses* reflected that candidates had a sound understanding of fundamental accounting concepts such as assets and liabilities. An asset was correctly explained as a resource owned by the business which provides future benefits, with examples like a delivery van or machinery purchased for operations. Similarly, a liability was described as an obligation owed by the business to outsiders, supported with examples such as a bank loan or trade payable. Capital was defined as the owner's financial interest or investment in the business, representing the difference between assets and liabilities, with an example such as the owner contributing Rs. 500,000 as initial investment. Candidates who performed well not only defined the terms accurately but also illustrated them with relevant everyday business situations, showing conceptual clarity and practical application.
Image of Better Response	 i. Asset i) Assets are the resources to run the business ii) All machines, equipment, land, building, furniture are Assets which is use in business purchasing computer for business its an Asset ii. Liability i) Liability are the debts of business which have to be paid in future. E.g. purchase merchandise on account
Description of Weaker Responses	In *weaker responses*, candidates were unable to explain the basic accounting concepts as required. Although the question was clearly stated, some candidates misunderstood it and instead wrote the rules of debit and credit, and some of them have not provided any example. This reflects a lack of conceptual clarity regarding the fundamental principles of accounting.

Image of Weaker Response



Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Practical Demonstration ** For description of each Pedagogy, refer to Annexure A	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

Question Interpretation: Regular exercises should be given to help students identify what a question is specifically asking, to avoid confusion between conceptual and rule-based questions.

Response Structuring: Encourage students to follow a simple structure: definition → explanation → example. This will improve both clarity and accuracy in their responses.

*K = Knowledge U = Understanding A = Application and other higher-order cognitive skills

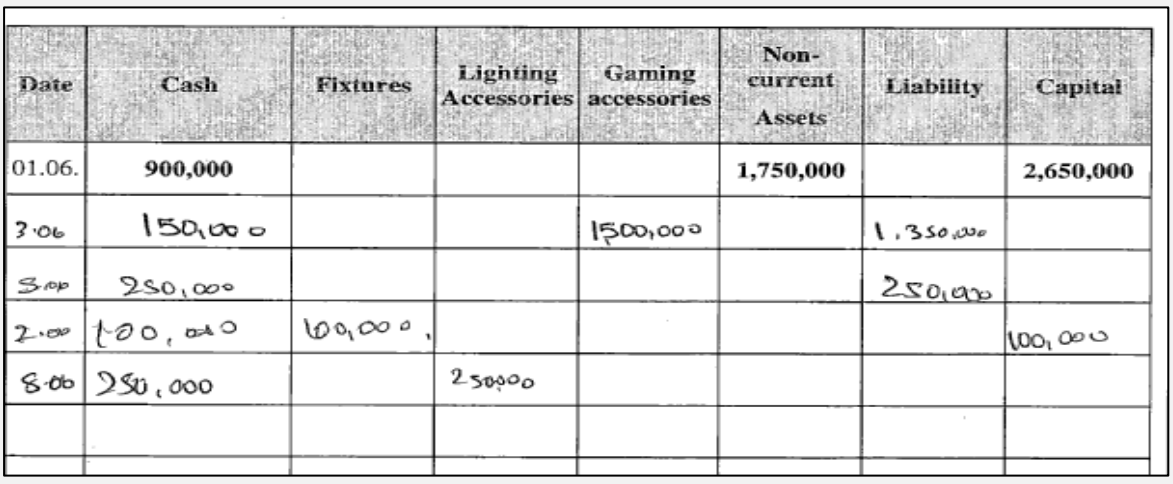
Question No. 2

Question Text

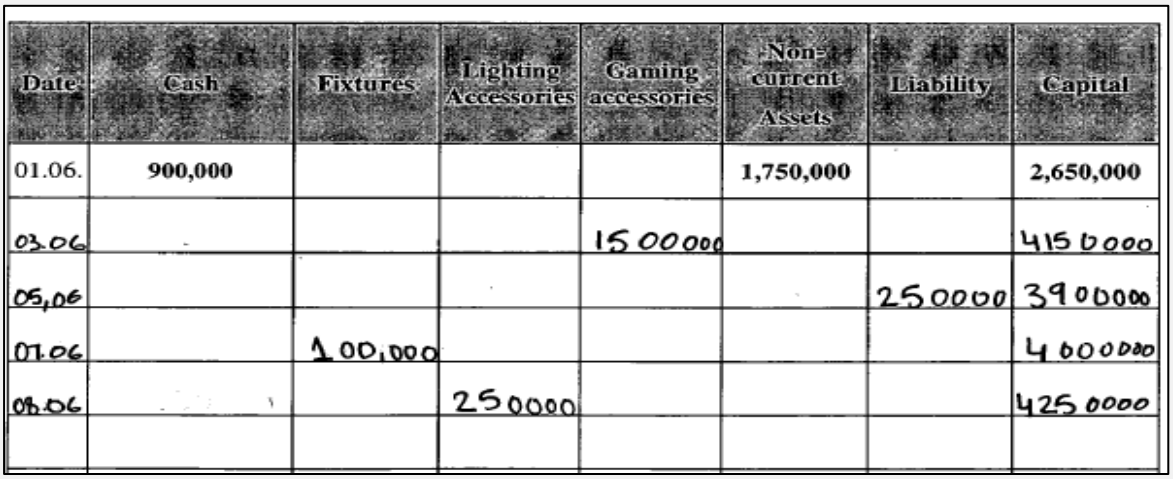
Ayan is establishing a Gaming Studio. He has performed the following transactions during the month of June 2024.
(Note: The first transaction has been done for your assistance.)

Date	Transaction
01.06.2024	Deposited cash Rs 900,000 into the business account and brought shop premises worth Rs 1,750,000 in the business as an initial investment.
03.06.2024	Purchased laptops and gaming accessories worth Rs 1,500,000 from Computer Zone paying 10% down payment.
05.06.2024	Received bank loan for the furniture of Gaming Studio worth Rs 250,000.
07.06.2024	Paid Rs 100,000 as an advance deposit for customised furniture and fixture to Quantum Furnitures.
08.06.2024	Purchased lighting accessories for Rs 250,000.

Post the transactions in the given format of accounting equation.

SLO No.	1.2.5
SLO Text	Apply the accounting equation on different business transactions.
Max Marks	04
Cognitive Level	A
Checking Hints	ONE mark for each transaction (FOUR required). Note: Signs are ignored.
Overall Performance	The overall performance in this question was poor. Almost all the candidates found it difficult to apply the accounting equation correctly to a sequence of mixed transactions. A few answers showed confusion over classification of items as assets, liabilities, or capital, particularly for part-payments, advance deposits and bank loans. Several responses failed to keep the equation balanced after each transaction, which revealed weak practice in dual-aspect recording. Only a minority displayed consistent accuracy and clear presentation.
Description of Better Responses	In *better responses*, candidates correctly posted all transactions using the accounting equation **(Assets = Liability + Owner's equity)** format, accurately identifying changes in assets, liabilities, and capital. The responses showed strong understanding of both cash and non-cash transactions, such as loans and down payments. Adjustments like partial payments and advances were handled appropriately as shown in the better response image.
Image of Better Responses	

Date	Cash	Fixtures	Lighting Accessories	Gaming accessories	Non-current Assets	Liability	Capital
01.06.	900,000				1,750,000		2,650,000
3.06	150,000			1500,000		1,350,000	
5.06	250,000					250,000	
2.06	100,000	100,000					100,000
8.06	250,000		250000				

Description of Weaker Responses	In *weaker responses*, candidates were often ignored the accounting equation format. Many candidates mixed up capital with liability or failed to balance both sides of the equation. Some responses omitted certain transactions, such as the advance payment or loan, while others made arithmetic errors that left the equation unmatched. Several candidates displayed a lack of practice in applying the dual aspect principle.
Image of Weaker Responses	

Date	Cash	Fixtures	Lighting Accessories	Gaming accessories	Non-current Assets	Liability	Capital
01.06.	900,000				1,750,000		2,650,000
03.06				1500000			4150000
05.06						250000	3900000
07.06		100,000					4000000
08.06			250000				4250000

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
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Any Additional Suggestion:

Use of Transaction Analysis Tables: Encourage students to practice using structured tables (with clear columns for assets, liabilities, and capital) to visualise the impact of each transaction and ensure balance is maintained after each entry.

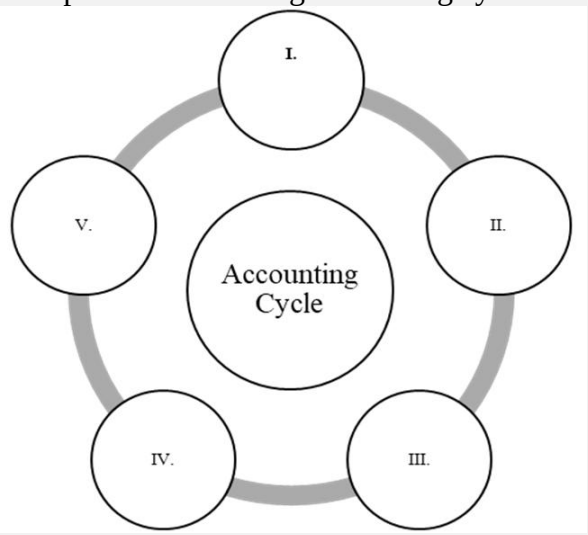
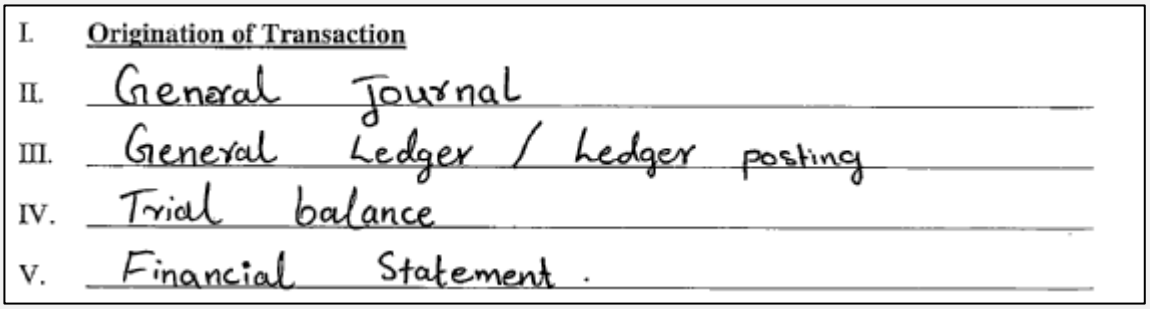
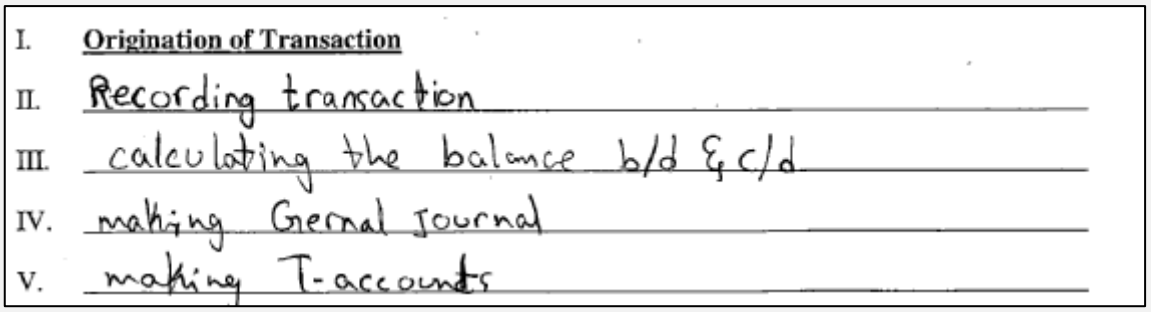
Question No. 3	
Question Text	Complete the following accounting cycle.  (**Note**: The first one is done for your assistance.) I. **Origination of Transaction** II. _____ III. _____ IV. _____ V. _____
SLO No.	2.1.2
SLO Text	Define 'general journal entry'
Max Marks	04
Cognitive Level	U
Checking Hints	ONE mark for each correct cycle.
Overall Performance	The overall performance of the cohort on this question was commendable. Some candidates demonstrated a good understanding of the accounting cycle of a transformer. They accurately completed the missing steps of accounting cycle. However, many of the candidates did not attempt this as per expectation.
Description of Better Responses	In *better responses*, candidates followed the proper order of the cycle after Origination of Transaction**,** such as Journalising/ General Journal, Posting to Ledger, Preparation of Trial Balance, and Preparation of Final Accounts. These candidates wrote the steps using accurate accounting terms, demonstrating both conceptual clarity and memorization.
Image of Better Response	
Description of Weaker Responses	In *weaker responses*, candidates did not complete the accounting cycle correctly and listed unrelated or incorrect steps. Key stages like journalising and trial balance were missing or mis-ordered. This shows a lack of understanding of the flow and purpose of the accounting process. Some responses contained functions of accounting rather than writing the steps of accounting cycle.

Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

Visual Aids & Charts: Use flowcharts or diagrams during lessons to visually explain how transaction progress through the accounting cycle.

Routine Reinforcement: Frequent low-stakes quizzes or exercises on the accounting cycle can help students retain the sequence and logic of each step.

Question No. 4

Question Text

The following records are extracted from the books of Abbas Brothers:

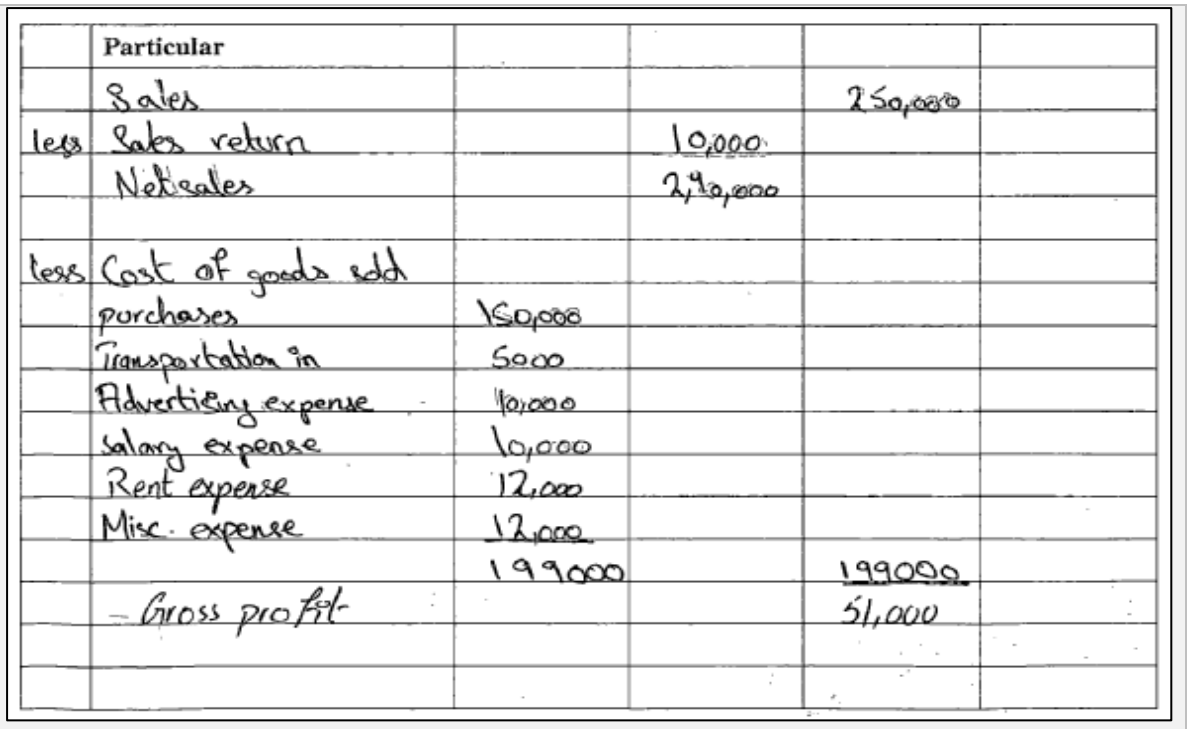
S. No.	Particular	Amount
1	Sales	250,000
2	Sales return	10,000
3	Inventory (Stock) opening	15,000
4	Inventory (Stock) closing	25,000
5	Purchases	150,000
6	Purchases returns	5,000
7	Transportation in	5,000
8	Advertising expense	10,000
9	Salary expense	10,000
10	Rent expense	12,000
11	Commission income	35,000
12	Miscellaneous expense	12,000

Based on the given information, prepare a classified income statement for Abbas Brothers.

SLO No.	2.4.3
SLO Text	Prepare income statement in classified form.
Max Marks	06
Cognitive Level	A
Checking Hints	ONE mark for Net Sales ONE mark for Net Purchases ONE mark for Cost of Goods Sold ONE mark for Gross Profit ONE mark for Total Operating Expenses ONE mark for Net Profit
Overall Performance	The overall performance in this question was challenging. Many candidates could not prepare a correct classified income statement from the given trial data. Several responses showed errors in calculating net sales, cost of goods sold (using opening and closing stock), or in grouping items as operating and non-operating. A noticeable number of answers had arithmetic mistakes or omitted freight in/ transportation in from cost of goods sold. This indicated weak practice in preparing final accounts from a list of ledger balances.
Description of Better Responses	*Better responses* computed net sales correctly by deducting sales returns and then worked out cost of goods sold using opening stock, net purchases (after purchases returns), freight in, and closing stock. Candidates correctly separated gross profit from operating expenses (advertising, salary, rent, miscellaneous) and shown other income (commission) separately. They presented the classified income statement in proper format with clear headings, correct subtotals, and accurate arithmetic. Their answers reflected understanding of classification and presentation requirements.

Image of Better Response					
	Particular				
	Revenue:				
	Sales			250,000	
	less: Sales Return			(10,000)	
	Total Revenues				Rs. 240,000
	less: Cost of Goods Sold:				
	Beginning Inventory			Rs. 15000	
	Add: Purchases		150,000		
	less: Purchase Return		(5000)	195000	
	Net Purchases			160,000	
	Add: Transportation-in			5000	
	Cost of Goods Sold			165000	
	less: Ending Inventory			(25000)	
	Cost of Goods available for sale				(140000)
	Gross Profit				100,000
	less: Operating Expenses:				
	Particular				
	Advertising Expense			10,000	
	Rent Expense			12000	
	Salary Expense			10,000	
	Miscellaneous Expence			12000	
	Total Operating Expenses				(44000)
	Income before Commission Income				56000
	Add: Commission Income				35000
	Net Income				91000
Description of Weaker Responses	*Weaker responses* often failed to distinguish between cost of goods sold and operating items, for example treating transportation in as an operating expense instead of including it in inventory cost. Some candidates omitted sales returns or purchases returns when computing net sales or net purchases, leading to wrong gross profit. Others mixed up classification (showing commission income as an expense) or presented an unclassified profit & loss layout. Arithmetic and transcription errors were common, which affected the final net profit figure.				

Image of Weaker Response



	Particular			
	Sales			250,000
less	Sales return		10,000	
	Net sales		240,000	
less	Cost of goods sold			
	purchases	150,000		
	Transportation in	5000		
	Advertising expense	10,000		
	Salary expense	10,000		
	Rent expense	12,000		
	Misc. expense	12,000		
		199000		199000
	= Gross profit			51,000

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

Step-by-Step Calculation: Encourage students to calculate cost of goods sold separately and build the income statement step by step for accuracy and clarity.

Structured Practice: Students should be given regular exercises on preparing classified income statements, with emphasis on proper headings and formatting.

Question No. 5

Question Text

The following information is extracted from a petty cash book of Al-Wahab Traders.

Cash Received $	C.B. Folio	Date	Particulars	V.N.	Total Payment $	Postage & Stamps $	Cartage $	Stationary $	Travel $	Misc. $
		2019								
150		Jan. 01	Balance b/d							
1,350		Jan. 01	Bank Account							
		Jan. 04	Postage Account		50	50				
		Jan. 06	Travel Exp.		100				100	
		Jan. 10	Stationary Account		150			150		
		Jan. 11	Misc. Exp.		50					50
		Jan. 15	Travel Exp.		75				75	
		Jan. 18	Cartage Account		350		350			
		Jan. 20	Postage Account		25	25				
		Jan. 24	Misc. Exp.		150					150
		Jan. 27	Stationary Account		200			200		
		Jan. 30	Stationary Account		150			150		
		Jan. 31	Misc. Exp.		50					50
		Jan. 31	Banlance C/d		150					
1,500					1,500	75	350	500	175	250
150		Feb. 01	Balance b/d							
1,350		Feb. 01	Bank A/c							

Post the entries for the establishment, replenishment and recording of petty cash expenses for Al-Wahab Traders in the given general journal format.

SLO No.	3.2.8
SLO Text	Post the entries for establishment, replenishment, and recording of petty cash expenses.
Max Marks	03
Cognitive Level	A
Checking Hints	ONE mark for each correct transaction posted (THREE required).
Overall Performance	The overall performance in this question was not up to the mark. A large proportion of candidates were unable to record the petty cash transactions correctly in the general journal format. Many responses showed confusion between establishment, replenishment and recording of petty cash expenses under the imprest system. Several answers missed using petty cash vouchers or failed to balance the petty cash account with receipts and the cash in hand. This indicated weak practice in routine cash procedures and journalising.
Description of Better Responses	Better responses clearly recorded the establishment entry by debiting Petty Cash and crediting Bank/ Cash and then showed replenishment by debiting the various expense accounts with a credit to Bank/ Cash (or Petty Cash) as appropriate. Candidates used correct narration, included petty cash vouchers or receipt references, and ensured the petty cash fund was restored to the imprest amount. Their journal entries were neatly presented with correct debit/credit amounts and balanced totals, showing sound understanding of petty cash control.

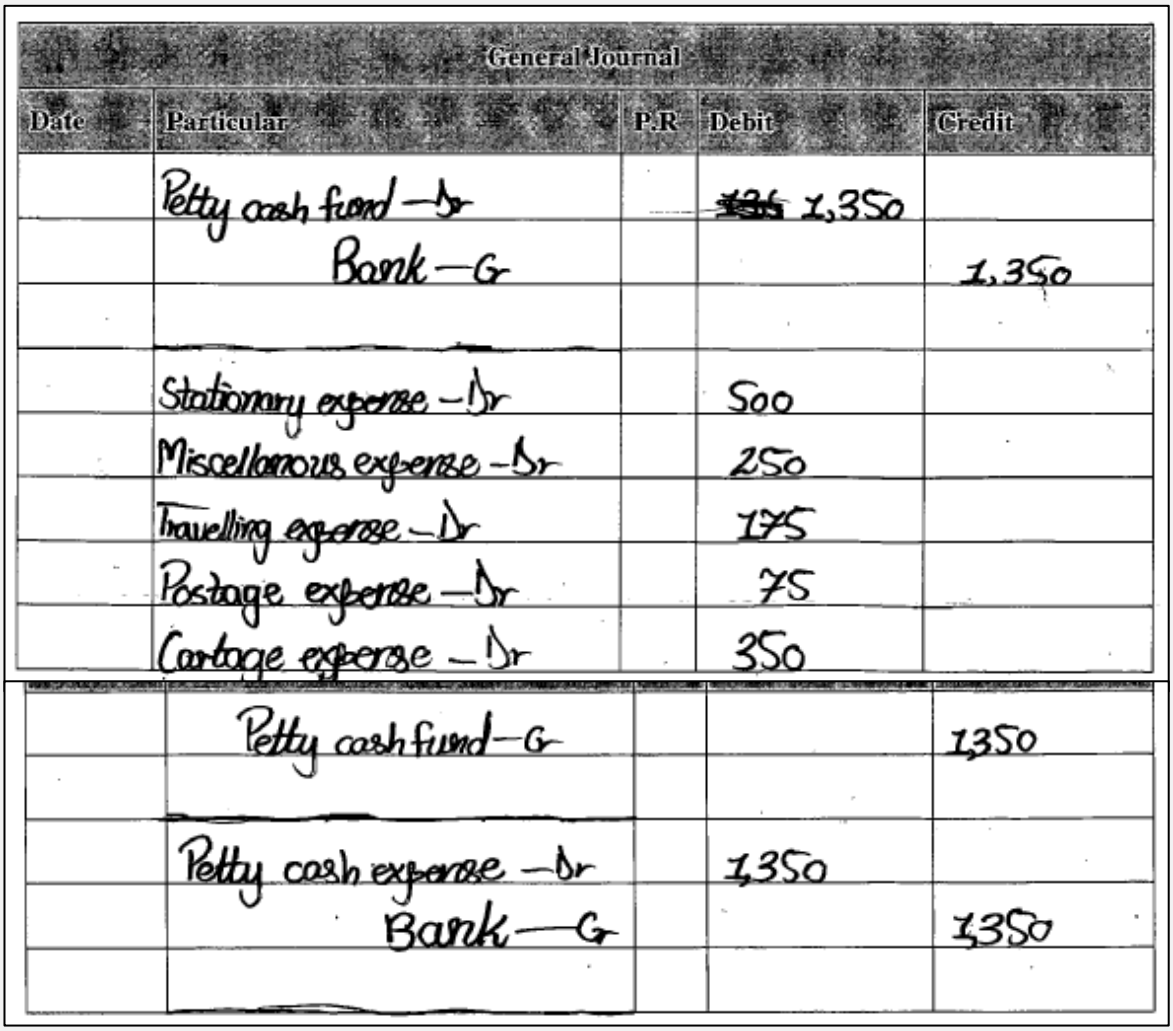
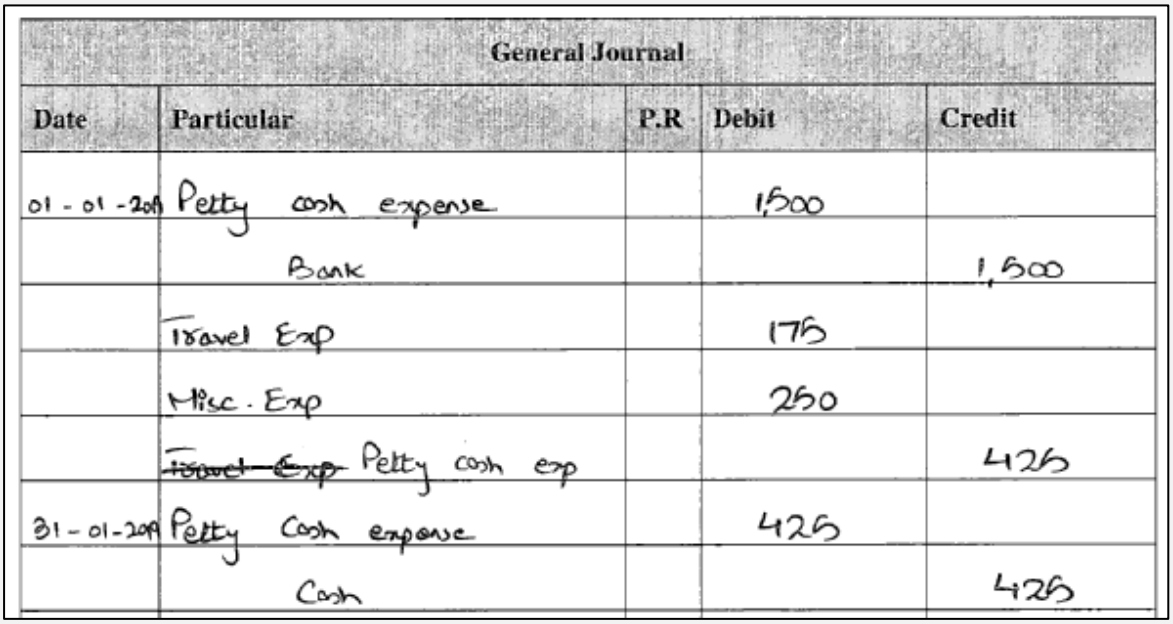
Image of Better Response	
Description of Weaker Responses	Weaker responses often omitted the initial establishment entry or treated replenishment incorrectly as expenses only, without crediting Bank/ Cash. Some candidates failed to group petty cash expenses (e.g., postage, stationery, travel) and instead recorded them in the petty cash account without separate expense accounts. Others did not show the reconciliation between cash in hand plus receipts and the imprest total or used incorrect narrations and formats in the general journal. These errors reflected limited practice with petty cash procedures.

Image of Weaker Response



General Journal

Date	Particular	P.R	Debit	Credit
01-01-20A	Petty cash expense		1,500	
	Bank			1,500
	Travel Exp		175	
	Misc. Exp		250	
	~~Travel Exp~~ Petty cash exp			425
31-01-20A	Petty Cash expense		425	
	Cash			425

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
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Any Additional Suggestion:		

Question No. 6

Question Text

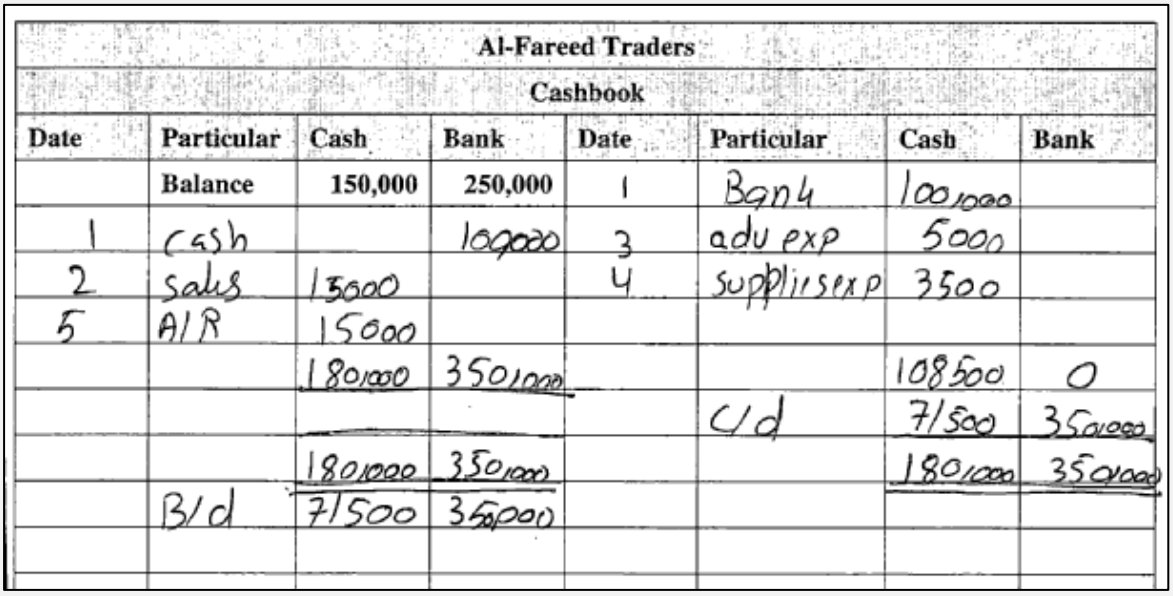
The following records are extracted from the books of Al-Fareed Traders:

Date	Transaction	Amount
1	Cash deposited into bank	100,000
2	Cash sales	15,000
3	Paid advertisement	5,000
4	Paid for supplies	3,500
5	Received written off receivables	15,000

Prepare a TWO-column cashbook for Al-Fareed Traders.

SLO No. 3.2.3

SLO Text Prepare cash book and relevant T-Accounts/ Ledgers, i.e., sales (revenue) discount and purchase discount.

Max Marks	06
Cognitive Level	A
Checking Hints	ONE mark for each correct transaction (FIVE transactions). ONE mark for footing and balancing cash book. NOTE: Bad debts recover can be written either in cash or bank column at debit side.
Overall Performance	The overall performance in this question was challenging. Only a small proportion of candidates prepared a correct two-column cashbook with accurate debit and credit entries. Many responses showed confusion between the cash and bank sides, while others omitted important details like narrations or balancing. Several candidates mixed up journal entries with cashbook format, showing weak familiarity with the structure of a two-column cashbook.
Description of Better Responses	*Better responses* showed a good understanding of candidates for both cash and bank, recording each transaction in proper columns with correct narrations. For example, they entered cash deposited into bank as a contra entry, recorded cash sales on the cash debit side, and correctly placed payments such as advertisement and supplies on the credit side. They also updated the balance systematically, showing neat presentation and accuracy with proper footing and balancing.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* often failed to use the two-column cashbook format and instead wrote general journal entries. Some omitted the contra entry for the cash deposit into the bank or placed it under the wrong column. Others confused receipts with payments, for instance recording cash sales on the wrong side or treating recovered receivables as income but not as a cash receipt. Balancing errors and untidy layouts were also common.

Al-Fareed Traders

Cashbook

Date	Particular	Cash	Bank	Date	Particular	Cash	Bank
	Balance	150,000	250,000	1	Bank	100,000	
1	cash		100,000	3	adv exp	5000	
2	sales	13000		4	supplies exp	3500	
5	A/R	15000					
		180,000	350,000			108500	0
					C/d	71500	350,000
		180,000	350,000			180,000	350,000
	B/d	71500	350000				

Image of Weaker Response	

Al-Fareed Traders

Cashbook

Date	Particular	Cash	Bank	Date	Particular	Cash	Bank
	Balance	150,000	250,000	2	Sales	15000	
1	Asset	100,000		1	Cash &		100,000
3	expense	5000					
4	expense	8500					
5	Revenue	15000					
		123500	250,000			15000	100,000
		108500	150000			108500	150000

Suggestions for improvement (Highlight all that apply)

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Any Additional Suggestion:

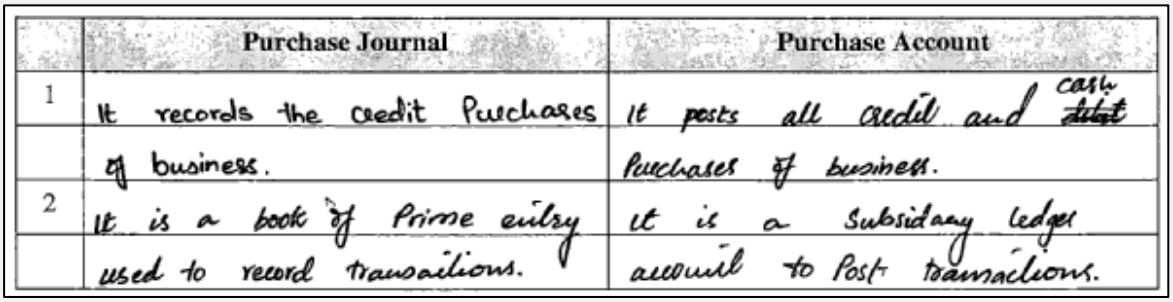
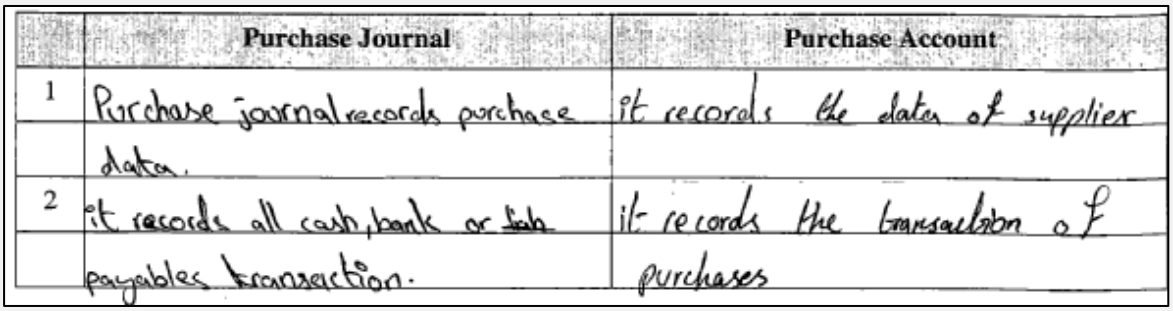
Reinforce Formatting Skills: Encourage students to use proper headings, date order, and total balancing in cash book formats through regular revision exercises.

Question No. 7

Question Text	Differentiate between purchases journal and purchases account.

	Purchase Journal	Purchase Account
1		
2		

SLO No.	4.1.3
SLO Text	Distinguish between: a. purchase journal and purchase account b. sales (revenue) journal and sales (revenue) account.

Max Marks	04
Cognitive Level	U
Checking Hints	ONE mark for each aspect of difference.
Overall Performance	The overall performance in this question was poor. Only a very small number of candidates correctly differentiated between the purchases journal and the purchases account. Most responses lacked clarity and confused the two terms, while some simply defined "purchases" in general without highlighting the difference between a book of original entry and a ledger account. This showed weak conceptual understanding of subsidiary books and accounts.
Description of Better Responses	*Better responses* clearly distinguished that the purchases journal is a book of original entry for recording only credit purchases of goods, while the purchases account is a ledger account where both cash and credit purchases are finally posted and classified. Candidates also noted that the purchases journal provides detailed supplier-wise information, whereas the purchases account shows the overall total of purchases. They highlighted that the journal is maintained daily, while the account is balanced periodically. Use of correct terms like original entry, ledger posting, and credit purchases reflected strong conceptual clarity.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* often treated both items as the same, writing only that they record "purchases of goods" without explaining their different purposes. Some candidates confused the purchases journal with the purchases day book or with the purchases ledger. Others wrote vague or incomplete answers, missing the point that one is a journal (recording stage) and the other an account (classification stage). Lack of proper examples and terms reduced the quality of responses.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

Use Practical Examples: Provide students with examples of how credit purchases are first recorded in the purchases journal and then posted to the purchases account. In addition, create tables or diagrams showing the function, format, and purpose of journals vs. ledger accounts to enhance clarity.

Question No. 8

Question Text	Anabia Limited wanted to buy twenty air conditioners (ACs) from Alifya Electronics. The tagged price of each AC was Rs 68,000 but Alifya Electronics reduced the price by Rs 2,000 each. Anabia Limited demanded that the amount will be paid after two months. A further discount of Rs 1,000 was offered by Alifya Electronics on each AC if the payment was made within 15 days. Therefore, Anabia Limited paid the amount for 20 ACs within 15 days. With reference to the given scenario, answer the following questions: i. Differentiate between trade discount and cash discount. ii. Find the total amount of trade discount received by Anabia Limited. iii. Find the total amount of cash discount allowed by Alifya Electronics to Anabia Limited. iv. Calculate the total amount that will be paid by Anabia Limited to Alifya Electronics.
SLO No.	4.1.2 & 4.1.4
SLO Text	4.1.2: Compare cash discount and trade discount. 4.1.4: Prepare special journal, i.e., sales (revenue) journal, purchase journal, sales (revenue) return journal, purchase return journal.
Max Marks	04
Cognitive Level	A
Checking Hints	ONE mark for each correct response.
Overall Performance	The overall performance in this question was challenging. Many candidates failed to show clear distinction between trade discount and cash discount, which led to incorrect calculations. Several responses contained arithmetic mistakes when applying discounts to the tagged price and when scaling to the quantity of twenty ACs. Several candidates also omitted one of the discounts or applied them in the wrong order, indicating incomplete

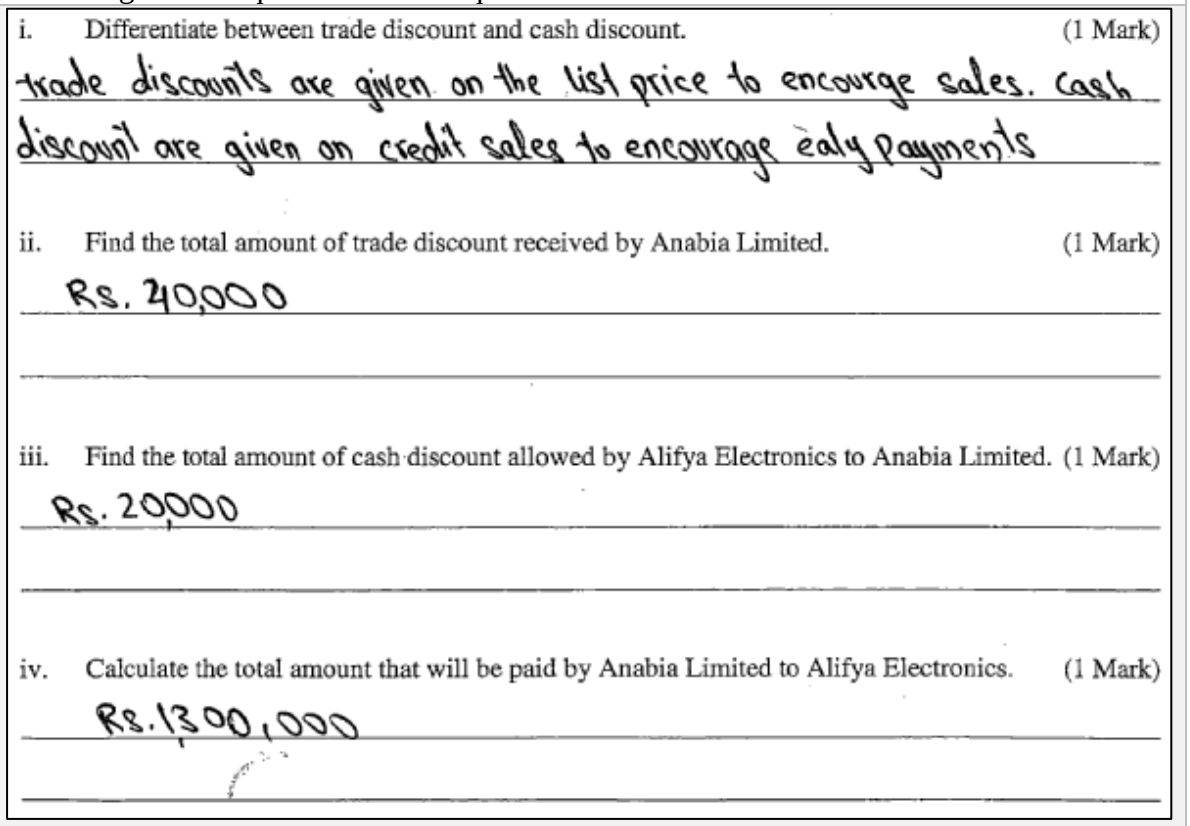
	understanding of invoice pricing. This suggested weak practice with sequential discounting and invoice computation.
Description of Better Responses	*Better responses* clearly defined trade discount as a reduction from the tagged/ list price and cash discount as a prompt-payment concession from the seller. Those candidates applied the trade discount first to find the net invoice price per AC, then calculated the cash discount on the resulting amount for prompt payment. The candidates wrote the correct answer according to the requirement of the question.
Image of Better Response	 i. Differentiate between trade discount and cash discount. (1 Mark) trade discounts are given on the list price to encourge sales. Cash discount are given on credit sales to encourage ealy payments ii. Find the total amount of trade discount received by Anabia Limited. (1 Mark) Rs. 40,000 iii. Find the total amount of cash discount allowed by Alifya Electronics to Anabia Limited. (1 Mark) Rs. 20,000 iv. Calculate the total amount that will be paid by Anabia Limited to Alifya Electronics. (1 Mark) Rs. 1,300,000
Description of Weaker Responses	*Weaker responses* commonly confused the two discounts or applied the cash discount to the tagged price instead of the net after trade discount. Some candidates gave only single-line answers (e.g., "trade discount = Rs X") without scaling to twenty ACs or omitted the cash discount calculation. Others made transcription or multiplication errors when calculating totals for twenty units. A few wrote definitions but did not connect them to the numerical part of the question, producing incomplete answers.

Image of Weaker Response

i. Differentiate between trade discount and cash discount. (1 Mark)

Trade discount is given when buisness and supplier are doing trade & cash discount is given by supplier.

ii. Find the total amount of trade discount received by Anabia Limited. (1 Mark)

The total amount of of trade discount received by Anabia limited was 1,000 per A/c.

iii. Find the total amount of cash discount allowed by Alifya Electronics to Anabia Limited. (1 Mark)

The total amount of cash discount allowed by Alifiya Electronics to Anabia limited was 2000 per A/c

iv. Calculate the total amount that will be paid by Anabia Limited to Alifya Electronics. (1 Mark)

The total amount that will be paid by Anabia limited to Alifiya Electronics is 1,300,000

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

Teachers can let the students follow a structured approach for solving word problems — list data, apply discount rates using real-life business examples.

<table>
<tr><th colspan="2">Question No. 9</th></tr>
<tr><td>Question Text</td><td>XYZ Manufacturing Ltd. purchased a new machine for its production facility on November 1, 2024. The purchase (acquisition) price of the machine was Rs 500,000 and credit term of 5/10 n/30 on list price.
In addition to the acquisition (purchase) price, the following expenses were incurred:
1. Delivery and installation cost Rs 20,000
2. Initial testing and calibration cost Rs 5,000 to ensure the machine was operational
3. Upgrade to electrical system cost Rs 30,000 to handle the machine’s power requirements
4. Repairs and maintenance cost Rs 30,000 on November 15, after the machine experienced a minor malfunction
5. Lubricants and cleaning cost Rs 10,000 for routine maintenance supplies
6. The credit term availed and the machine has the operational life of 5 years. The accounting year for the business ends on October 31 each year

i. Classify each expense as either a capital expense (extraordinary expenditure) or a revenue expense (ordinary expenditure).

<table><tr><th>S. No.</th><th>Expenses</th><th>Classification of Expenses</th></tr><tr><td>1</td><td>Delivery and installation</td><td></td></tr><tr><td>2</td><td>Initial testing and calibration</td><td></td></tr><tr><td>3</td><td>Upgrade to electrical system</td><td></td></tr><tr><td>4</td><td>Repairs and maintenance</td><td></td></tr><tr><td>5</td><td>Lubricants and cleaning</td><td></td></tr></table>
ii. Prepare the necessary general journal entries for:
I. the purchase (acquisition) of the machine.
II. the capital expenses (extraordinary expenditures) and revenue expenses (ordinary expenditures) incurred.</td></tr>
<tr><td>SLO No.</td><td>5.2.3</td></tr>
<tr><td>SLO Text</td><td>Compute the amount of total capital and revenue expenditures.</td></tr>
<tr><td>Max Marks</td><td>05</td></tr>
<tr><td>Cognitive Level</td><td>A</td></tr>
<tr><td>Checking Hints</td><td>ONE mark for each correct identification (THREE required).
ONE mark for each correct general journal entry (TWO required).</td></tr>
<tr><td>Overall Performance</td><td>The overall performance in this question was poor. Most of the candidates could not correctly classify expenses as capital (extraordinary) or revenue (ordinary) and struggled to prepare the required journal entries. Several answers showed confusion about which costs formed part of the machine’s capitalised cost and which were period expenses. A number of responses also ignored the credit term (5/10 n/30) implications and failed to show correct handling of discounts or payables. This showed weak practice in fixed-asset accounting and journalising.</td></tr>
<tr><td>Description of Better Responses</td><td>Better responses correctly classified delivery & installation, initial testing & calibration, and upgrade to electrical system as capital (extraordinary) expenditures to be added to the asset cost, while treating repairs & maintenance (post-purchase malfunction) and lubricants & cleaning as revenue (ordinary) expenditures. Candidates posted clear journal entries: debiting the Machine (or relevant asset capitalisation) for capital costs and debiting Repair or Expense accounts for revenue costs, crediting Cash/ Bank/ Payables. They showed understanding of acquisition cost, capitalisation rules, and recorded correct general entries.</td></tr>
</table>

Image of Better Response

i. Classify each expense as either a capital expense (extraordinary expenditure) or a revenue expense (ordinary expenditure). (3 Marks)

S.No.	Expenses	Classification of Expenses
1	Delivery and installation	Capital expense
2	Initial testing and calibration	capital expense
3	Upgrade to electrical system	capital expense
4	Repairs and maintenance	Revenue expense
5	Lubricants and cleaning	Revenue expense.

ii. Prepare the necessary general journal entries for:

I. the purchase (acquisition) of the machine. (1 Mark)

II. the capital expenses (extraordinary expenditures) and revenue expenses (ordinary expenditures) incurred. (1 Mark)

Date	Particular	P.R	Debit	Credit
2024 Nov 1	Machine		530,000	
	Accounts Payable			530,000
	(Purchased machine on credit)			
2024 Nov 5	Machine		55,000	
	Cash			55,000
	(Paid Capital expenditures)			
2024 Nov 5	Repair & maintenance		30,000	
	Lubricants & cleaning		10,000	
	Cash			40,000
	(Paid revenue expenditures)			

Description of Weaker Responses

In *weaker responses*, candidates struggled to identify capital and revenue expenses, misplacing costs like installation and calibration as revenue expenditures. Journal entries were incomplete or incorrect, especially in applying the purchase discount and categorising expenses. The responses reflected a lack of conceptual clarity and accounting procedure.

Image of Weaker Response

i. Classify each expense as either a capital expense (extraordinary expenditure) or a revenue expense (ordinary expenditure). (3 Marks)

S.No.	Expenses	Classification of Expenses
1	Delivery and installation	Revenue Expenditure
2	Initial testing and calibration	Revenue Expenditure
3	Upgrade to electrical system	Capital Expenditure
4	Repairs and maintenance	Capital Expenditure
5	Lubricants and cleaning	Capital Expenditure

ii. Prepare the necessary general journal entries for:

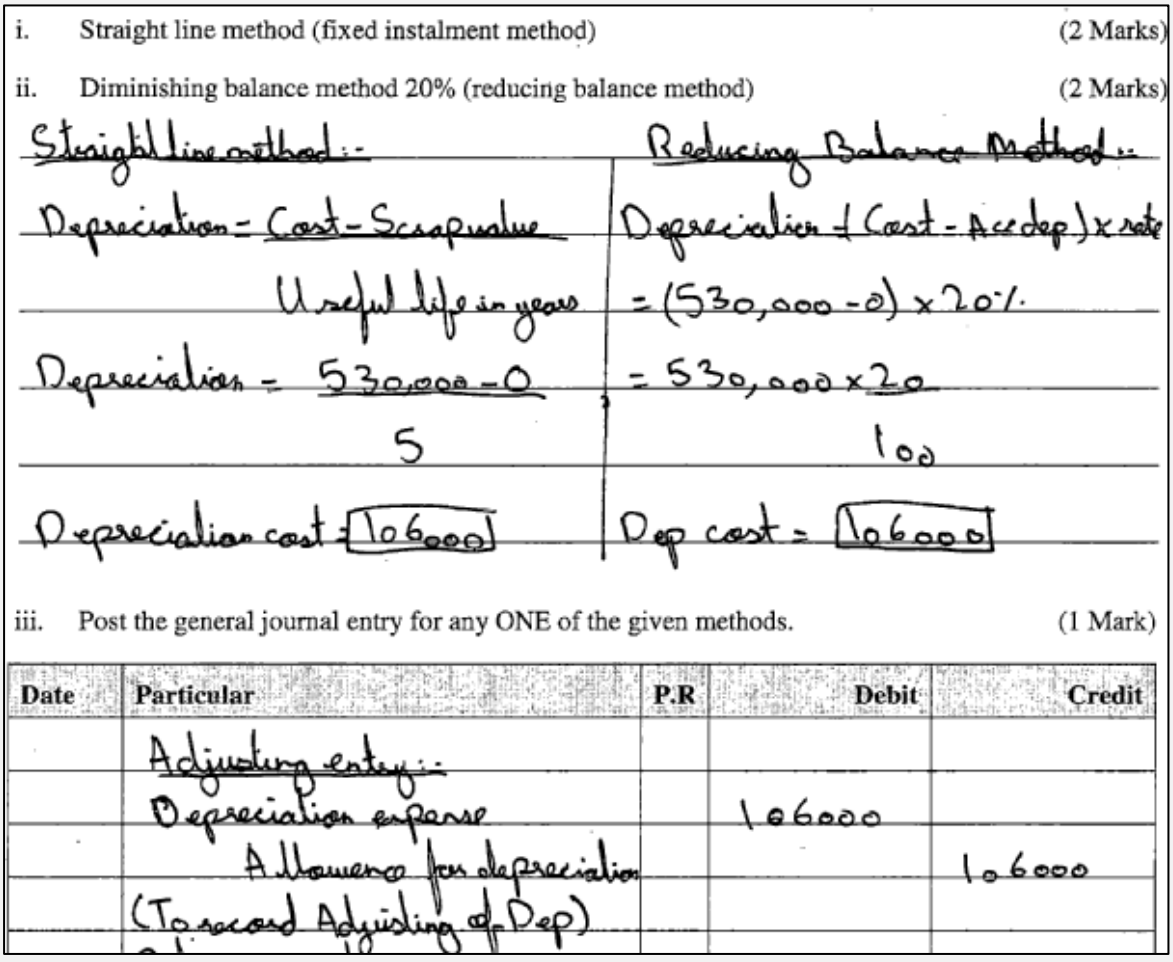
I. the purchase (acquisition) of the machine. (1 Mark)

II. the capital expenses (extraordinary expenditures) and revenue expenses (ordinary expenditures) incurred. (1 Mark)

Date	Particular	P.R	Debit	Credit
x-x-x	Purchase		500,000	
	A/c payable			500,000
x-x-x	Cash		70,000	
	Capital			70,000

Suggestions for improvement (Highlight all that apply)

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Any Additional Suggestion:		

Question No. 10	
Question Text	Compute the cost of depreciation for the current year by the following methods. i. Straight line method (fixed instalment method) ii. Diminishing balance method 20% (reducing balance method) iii. Post the general journal entry for any ONE of the given methods
SLO No.	5.3.3
SLO Text	Calculate depreciation with the help of: a. straight line method (fixed instalment method) b. diminishing balance method (reducing balance method).
Max Marks	05
Cognitive Level	A
Checking Hints	ONE mark for applying each correct formula (TWO required). ONE mark for each correct computation (TWO required). ONE mark for general entry.
Overall Performance	This question was linked with the 2nd part of Q.9. of the paper. Since, majority of the candidates could not have performed well in that part, so the responses of this question were not up to the mark. However, only few candidates met the requirements of the question and demonstrated good understanding.
Description of Better Responses	In *better responses*, candidates computed depreciation on the capitalised cost of Rs. 530,000. Using the straight-line method, annual depreciation was Rs. 106,000, while under the diminishing balance method at 20%, depreciation for the first year was also Rs. 106,000. The journal entry was properly recorded as debiting depreciation expense and crediting accumulated depreciation with correct narration.
Image of Better Response	

i. Straight line method (fixed instalment method) (2 Marks)

ii. Diminishing balance method 20% (reducing balance method) (2 Marks)

Straight line method :-

Depreciation = Cost - Scrap value / Useful life in years

Depreciation = 530,000 - 0 / 5

Depreciation cost = 106,000

Reducing Balance Method :-

Depreciation = (Cost - Accdep) x rate

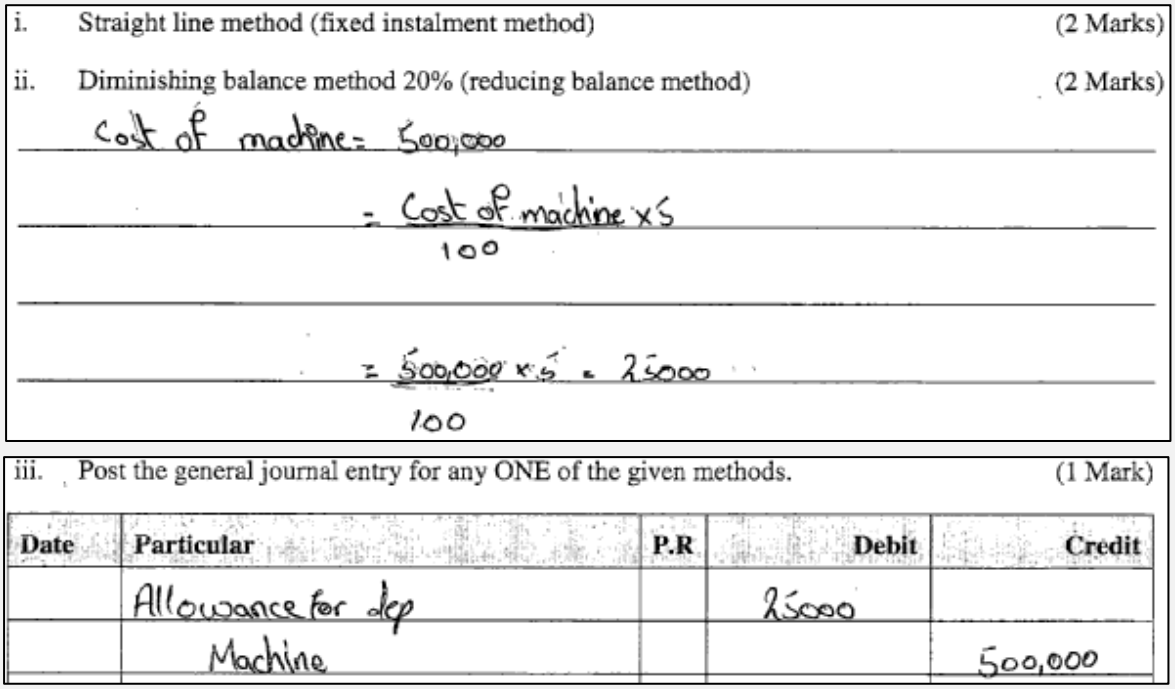
= (530,000 - 0) x 20%

= 530,000 x 20 / 100

Dep cost = 106,000

iii. Post the general journal entry for any ONE of the given methods. (1 Mark)

Date	Particular	P.R	Debit	Credit
	Adjusting entry :-			
	Depreciation expense		106000	
	Allowance for depreciation			106000
	(To record Adjusting of Dep)			

Description of Weaker Responses	In *weaker responses*, candidates made errors in applying depreciation formulas, resulting in incorrect figures. The journal entry was either missing or incorrectly posted with wrong accounts or amounts. This indicates limited understanding of depreciation methods and related accounting treatment.
Image of Weaker Response	

i. Straight line method (fixed instalment method) (2 Marks)

ii. Diminishing balance method 20% (reducing balance method) (2 Marks)

Cost of machine = 500,000

$= \frac{\text{Cost of machine} \times 5}{100}$

$= \frac{500,000 \times 5}{100} = 25000$

iii. Post the general journal entry for any ONE of the given methods. (1 Mark)

Date	Particular	P.R	Debit	Credit
	Allowance for dep		25000	
	Machine			500,000

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
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Any Additional Suggestion:

Annexure A: Pedagogies Used for Teaching the SLOs

Pedagogy: Storyboard
Description: A visual pedagogy that uses a series of illustrated panels to present a narrative, encouraging creativity and critical thinking. It helps learners organise ideas, sequence events, and comprehend complex concepts through storytelling.
Example: In a Literature class, students are tasked with creating storyboards to visually retell a novel. They draw key scenes, write captions, and present their stories to the class, enhancing their reading comprehension and fostering their imagination.

Pedagogy: Cause and Effect
Description: This pedagogy explores the relationships between actions and consequences. By analysing cause-and-effect relationships, learners develop a deeper understanding of how events are interconnected and how one action can lead to various outcomes.
Example: In a History class, students study the causes and effects of the Industrial Revolution. They research and discuss how technological advancements in manufacturing led to significant societal changes, such as urbanisation and labour reform movements.

Pedagogy: Fish and Bone
Description: A method that breaks down complex topics into main ideas (the fish) and supporting details (the bones). This visual approach enhances comprehension by highlighting essential concepts and their relevant explanations.
Example: During a Biology class on human anatomy, the teacher uses the fish and bone technique to teach about the human skeletal system. Teacher presents the main components of the human skeleton (fish) and elaborates on each bone's structure and function (bones).

Pedagogy: Concept Mapping
Description: An effective way to visually represent relationships between ideas. Learners create diagrams connecting key concepts, aiding in understanding the overall structure of a subject and fostering retention.
Example: In a Psychology assignment, students use concept mapping to explore the various theories of personality. They interlink different theories, such as Freud's psychoanalysis, Jung's analytical psychology, and Bandura's social-cognitive theory, to see how they relate to each other.

Pedagogy: Audio Visual Resources
Description: Incorporating multimedia elements like videos, images, and audio into lessons. This approach caters to different learning styles, making educational content more engaging and memorable.
Example: In a General Science class, the teacher uses a documentary-style video to teach about the solar system. The video includes stunning visual animations of the planets, interviews with astronomers, and background music, enhancing students' interest and understanding of space.

Pedagogy: Think, Pair, and Share
Description: A collaborative learning technique where students ponder a question or problem individually, then discuss their thoughts in pairs or small groups before sharing with the entire class. It fosters active participation, communication skills, and diverse perspectives.
Example: In a Literature in English class, the teacher poses a thought-provoking question about a novel's moral dilemma. Students first reflect individually, then pair up to exchange their opinions, and finally participate in a lively class discussion to explore different viewpoints.

Pedagogy: Questioning Technique (Socratic Approach)
Description: Based on Socratic dialogue, this method stimulates critical thinking by posing thought-provoking questions. It encourages learners to explore ideas, justify their reasoning, and discover knowledge through a process of inquiry.
Example: In an Ethics class, the instructor uses the Socratic approach to lead a discussion on the meaning of justice. By asking a series of probing questions, the students engage in a deeper exploration of ethical principles and societal values.

Pedagogy: Practical Demonstration
Description: A hands-on approach where learners observe real-life applications of theories or skills. Practical demonstrations enhance comprehension, skill acquisition, and problem-solving abilities by bridging theoretical concepts with real-world scenarios.
Example: In a Food and Nutrition class, the instructor demonstrates the proper technique for filleting a fish. Students observe and then practice the skill themselves, learning the practical application of knife skills and culinary precision.

(**Note:** The examples provided in this annexure serve as illustrations of various pedagogies. It is important to understand that these pedagogies are versatile and can be applied across subjects in numerous ways. Feel free to adapt and explore these techniques creatively to enhance learning outcomes in your specific context.)

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